

ZOLTAR

HIDDEN PATTERNS IN PLAIN SIGHT

“The soul is a cypher.”

— EDGAR ALLAN POE

ZOLTAR PREDICTS PREDICTION SYSTEM · THE ZION MONTHLY BOOK · OCTOBER
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We print our live record and our nulls. Every number on this page carries its evidentiary basis. Backtest numbers are one tier below as-issued; the as-issued forward tape is the only class this house ultimately trusts. The map is the cap.

 **AS-ISSUED** · measured, frozen at issue  **BACKTEST** · hypothetical, unproven

Direction always carries an arrow and the word — never colour alone.

I. The Hidden Correspondence

CONTEXT

The flagship correspondence — the dollar against the money supply — stays dormant; a newer silver engine is the month's only stir.

Out of a mound of macro series, ZOLTAR distils each asset to a handful of *named* relationships — a ratio in a specific configuration that has, historically, preceded a move. The highest-conviction one it holds is a single, plain relationship: the **Dollar Index against the M2 money supply**. When that ratio takes one of three specific shapes, gold's next month has been right about **72% of the time it acts** (backtest). A black-box model can hand you a number and nothing else; ZOLTAR can name the pattern — hidden in the data, stated in plain sight.

STATUS THIS MONTH — TRUSTED CELLS QUIET; ONE PAPER-TRACK STIR

The dollar-to-M2 ratio is again quiet — a coin-toss configuration, not one of its three acting shapes — so gold, oil and the dollar all stay dormant. The one exception is silver: a newly-certified two-cell engine (palladium against the Mexican peso, and a copper-to-oil ratio against the yield curve) has taken a **DOWN** shape. That engine is **on paper-track — certified but unproven**, its edge barely off a coin toss, so it does not move the live book. ZOLTAR still does the thing a black box cannot: it says plainly where there is a pattern worth betting (almost nowhere this month) and where there is only an experiment worth watching.

II. The Monthly Board

AS-ISSUED

The five-asset SYZYGY board, frozen at the 1st. A clean stand-down — every sleeve in cash.

MONTHLY BOARD — AS-ISSUED 2026-10-01

ASSET	STANCE	TIER	READ
S&P (SPY)	Abstain	T-1	CAPE anchor — no cell cleared its bar
Gold	Abstain	CAPE-T26	valuation cell not fired (basis Sep)
Silver	Abstain	T4	off its certified pull tiers
WTI	Abstain	—	no certified cell fired
USD	Cash	—	no rules by design (0 pulls)

ASSET	STANCE	TIER	READ
NatGas	Watch-only	—	abstain — Wilson-LB .42 < .50 gate

MONTHLY LEG
Cash
all five sleeves abstain

FIRING RATE
~1 in 5
a total stand-down is rare

DISCIPLINE
Abstain
act only on a cleared cell

Selectivity is the strategy. The board acts only when a cell clears its walk-forward bar; this month none did, so the honest print is cash — not a manufactured call.

***Outside the board** — a newly-certified silver two-cell engine (palladium/peso + copper-oil ÷ curve) issued a ▼ **DOWN** call this month. It is **on paper-track — certified but unproven, its edge barely off a coin**, tracked separately and **not** a book position; it must earn its record before it ever sizes.*

*A reconciliation for readers who also watch the daily dashboard: this monthly directional board abstains on the S&P, yet ZION's separate **weekly** leg carries a drift-based S&P long — a beta/momentum position, not a directional call. Different cadences, different books; only the monthly directional book is scored on this page.*

III. The Directional Engine AS-ISSUED + BACKTEST

When the board does fire, this is where the edge lives — certified cells that beat drift out-of-sample.

The RED DAWN cascade keeps predictors defined by **articulable, real-world ratio thresholds**. One clears the bar cleanly — gold's — its acted-months accuracy beating both a naïve always-long book and the drift benchmark, out-of-sample. Silver's cell has been re-certified to a newer two-cell engine that is still on paper-track, its edge barely off a coin toss. The highest *raw* accuracy on the board is **rejected** — proof the credential is the out-of-sample test, never the in-sample tier.

CERTIFIED DIRECTIONAL CELLS

CELL	THE CORRESPONDENCE	FIRES	ACTED ACC.	OOS VERDICT
Gold	Dollar Index ÷ M2 money	~19.5%	71.8%	beats drift
Silver	Palladium ÷ peso + copper/oil ÷ curve	~35.6%	LB ≈ .50	paper-track · unproven
WTI	2Y Treasury ÷ Fed Funds	—	73.4%	rejected · drift only

Acted-months figures are in-sample-selected upper bounds, confirmed to beat drift out-of-sample — not clean OOS. Gold's is a single certified cell, never the full multi-round cascade (which runs near coin); silver's two-cell engine is newer and unproven, carried on paper-track.

IV. The Backtest — Context, Not Proof BACKTEST

Out-of-sample walk-forward, 2007–2026. Hypothetical, printed in orange, held one tier below the live tape.

The backtest is the map, not the territory. The components are one-step-ahead walk-forward, but the assembly — weights, hedge sizes, leverage — was chosen on the full record, so these figures are **an upper bound, not live proof**. They describe the shape the structure is built to produce: the same risk-adjusted quality at every leverage level, with leverage buying drawdown alone.

ZION BACKTEST — RISK & RETURN VS. THE MARKET

BOOK	SORTINO	MAX DD	2008	2022
ZION · 1× (structural)	5.20	−4%	+3%	+9%
ZION · 2.54×	5.20	−10%	+9%	+22%
ZION · 4.0× (locked spec)	5.20	−16%	+13%	+36%
S&P 500 buy & hold	0.91	−52%	−41%	−19%

2008 and 2022 are full-year returns — positive at every level. Growth of \$100k: ~\$700K at 1×, ~\$12M at 2.54×, ~\$150M at the locked 4×, vs ~\$500K for the S&P. Financing unmodeled (~−4.5pp/yr at 4×). On the Sortino: 5.20 is the system figure; the universe book is 4.13 monthly-basis / 4.71 as-served; the weekly leg alone 2.56 weekly-basis.

V. Why the Structure Holds

MEASURED + CONTEXT

Three mechanisms, none of which needs a directional forecast.

Decorrelation across cadence: the weekly and monthly books combine 50/50 and correlate just **+0.20** — **95% of years positive**, and positive through both 2008 and 2022. **An always-on hedge:** the two-year-Treasury leg and gold overlay are standing ballast, not tactical bets. **A stress throttle:** a daily tail-risk overlay cuts gross and flattens the book as liquidity and volatility deteriorate — mechanically, before a drawdown compounds. The directional engine simply waits for a certified filter; this month the trusted engine waits while a newer, unproven one paper-tracks.

A working MVP is live and issuing these calls in real time. The forward tape above is where the structure earns its keep — and it is filling in: 7 of 12 resolved weeks, 71% positive, cumulative +0.64% as-issued (ahead of the live desk's −1.09% over the same weeks).

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